Module 8
Principles of Auditing

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

<u>SECTION B – WRITTEN QUESTIONS</u> (Total: 80 marks)

<u>Answer 1(a)</u>

Assurance is a service that aims to reduce information risk to users of financial and other information. The preparer is making actual or implied assertions about the information being made available and the assuring party is providing an independent opinion on those assertions based on appropriate evidence gathered. An audit should assist the reader or user of a document in determining how much trust they should place in the information that is being presented to them.

An assurance engagement in which a practitioner aims to obtain sufficient appropriate evidence in order to express a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the measurement or evaluation of the underlying subject matter against criteria.

The outcome of the measurement or evaluation of the underlying subject matter is the information that results from applying the criteria to the underlying subject matter.

<u>Answer 1(b)</u>

There is a contingent gift which is too expensive for the audit team members. In this case, the contingent gift is based on the success of the renewal of the bank loan. This creates the self-interest threat to compliance with the fundamental principle of objectivity of the team members when they conduct the audit. No safeguard is considered adequate for the mitigation of this threat.

The auditor should not accept this contingent gift arrangement.

<u>Answer 1(c)</u>

Obtain a breakdown of all loans outstanding during the year, cast the breakdown, and agree the total ending balances to the trial balance.

For long-term loans, recalculate the split of the closing loan balance between the portion falling due within one year from the reporting date and the portion falling due after more than one year from the reporting date and agree this split to current and non-current liability section of the statement of financial position.

Check with the loan agreement for the interest rate and recalculate the interest charge and any interest accrual to ensure mathematical accuracy of the interest expense.

Agree loan balances at the reporting date to an original loan statement and the bank confirmation.

Inspect the bank confirmation for evidence of any loans that have not been included in the financial statements.

Agree security pledged for bank loans to agreement and review the financial statement disclosures for adequacy.

Inspect loan agreements for restrictive covenants and determine the effect if there has been any breach of the covenants (e.g., the loan becoming immediately repayable).

Answer 1(d)

According to HKSA 500 *Audit Evidence*:

Audit evidence is more reliable when it is obtained from independent sources outside the entity. Audit evidence obtained directly by the auditor is more reliable than audit evidence obtained indirectly. The major difference between the suppliers' statement and creditors' confirmation is that the suppliers' statement is provided by the client, and this creates the opportunity for the client to alter the information on the statement and selectively provide statements to the auditors.

Therefore, Mike Wong's advice on inspecting the suppliers' monthly statement instead of obtaining confirmation directly from the suppliers to confirm the year-end accounts payable balances is not appropriate.

Answer 1(e)

The auditor is unable to gather sufficient and appropriate audit evidence regarding the amount of inventory since no inventory count is conducted. The audit report will be a modified report with the qualified opinion. The auditor's report needs to be qualified on the basis that this is material but not pervasive. The auditor must use the heading "Qualified Opinion" for the opinion paragraph. Following the opinion paragraph, the auditor shall also include a paragraph headed "Basis for Qualified Opinion" and provided a description of the circumstances and state the reason why the auditor was unable to obtain sufficient appropriate audit evidence.

Answer 2(a)

The principal audit risk is that accounts payable and accruals are understated, hence profit is overstated or a loss is understated. Understated accounts payable and accruals can arise generally because cut-offs are incorrect.

Answer 2(b)

Obtain a list of accounts payable from the purchase ledger, cast the list to ensure mathematical accuracy, and agree the total of the purchase ledger list to the general ledger and the financial statements.

Inspect payments made by the company post year end and where they relate to the current year, agree them to invoices on the purchase ledger or schedule of accruals.

Inquire of management as to any unrecorded liabilities.

Select a sample of accounts payable balances and perform an accounts payable circularisation confirmation. Follow-up any non-replies and any reconciling items between balances confirmed and accounts payable balances per the purchase ledger.

Obtain supplier statement reconciliations and agree these to the balance on the purchase ledger at the year end and investigate any reconciling items.

Review invoices received post year end and if any relate to the current year agree them to the schedule of accruals.

Select a sample of goods received notes immediately pre and post year end and ensure those received pre year end are included in the accounts payable balance and those received post year end are excluded.

Inspect the purchase ledger listing for any debit balances, and for material amounts discuss with management and consider whether reclassification as a receivable is appropriate.

Obtain a schedule of accruals, cast the schedule to ensure mathematical accuracy, and agree the total to the general ledger and the financial statements.

Analytical procedures over accounts payable and accruals include the following:

- Compare accounts payable and accruals to the prior year and investigate any significant variations.
- Calculate accounts payable days and compare to the prior year and investigate any significant differences.

<u>Answer 2(c)</u>

Procedures for sending out creditors' confirmation:

Select sample of accounts payable to be circularised by auditors.

Inform client of intended list of those to be circularised.

Consider implications if client objects to any of the accounts selected being circularised.

Record names and amounts circularised.

Record replies received and consider implications of any accounts not agreed.

For non-replies, perform alternative procedures so as to obtain sufficient appropriate audit evidence for accounts payable balances.

Answer 3(a)

Management should make sure that auditors have unrestricted access to all financial record and statements, properly respond to auditors' inquiries, and consider suggestions made by auditors in improving financial and internal control processes.

Answer 3(b)

A "good" IT system is evaluated in terms of the following attributes:

- Accuracy of data processing
- Completeness of data processing
- Verifiability of processing
- System reliability
- Relevance to business objectives
- Simplicity and maintainability
- Processing timeliness
- Economy of processing
- Security

Answer 3(c)

Systems audit is a process to determine whether a particular system is designed and operated to achieve stated objectives, and whether the effectiveness of the system could be improved. It is most often used as a management tool to obtain objective evidence that the entity's policies and objectives are being met.

These audits can be undertaken for a range of reasons, for example:

- To evaluate an entity's system against an industry standard;
- To establish whether the system conforms with defined criteria; and
- To satisfy legal or regulatory requirements.

Answer 3(d)

Understanding the entity's information processing activities, including its data and information, the resources to be used in such activities, and the policies that define, for significant classes of transactions, account balances and disclosures.

(i) How information flows through the entity's information system, including how:

   a. Transactions are initiated, and how information about them is recorded, processed, corrected as necessary, incorporated in the general ledger, and reported in the financial statements; and

   b. Information about events and conditions, other than transactions, is captured, processed, and disclosed in the financial statements;

(ii) The accounting records, specific accounts in the financial statements, and other supporting records relating to the flows of information in the information system;

(iii) The financial reporting process used to prepare the entity's financial statements, including disclosures; and

Understanding how the entity communicates significant matters that support the preparation of the financial statements and related reporting responsibilities in the information system and other components of the system of internal control:

(i) Between people within the entity, including how financial reporting roles and responsibilities are communicated;

(ii) Between management and those charged with governance; and

(iii) With external parties, such as those with regulatory authorities.

<u>Answer 4(a)</u>

The objectives of the auditor are: (a) to obtain sufficient appropriate audit evidence regarding, and conclude on, the appropriateness of management's use of the going concern basis of accounting in the preparation of the financial statements; (b) to conclude, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern; and to report in accordance with the HKSA 570 (Revised) *Going Concern*.

<u>Answer 4(b)</u>

In evaluating management's assessment of the entity's ability to continue as a going concern, the auditor shall cover the same period as that used by management to make its assessment as required by the applicable financial reporting framework, or by law or regulation if it specifies a longer period. The management's assessment of Happy Limited's ability to continue as a going concern covers less than twelve months from the date of the financial statements as required by HKSA 570 (Revised) *Going Concern*, so the auditor shall request management to extend its assessment period to at least twelve months from that date. In evaluating management's assessment, the auditor shall consider whether management's assessment includes all relevant information of which the auditor is aware as a result of the audit.

Answer 4(c)

The directors are not certain about the continuing viability of their business due to the downward trend of the economy. There is significant doubt as to the going concern status of Happy Limited which the auditor believes the financial statements have been adequately disclosed. There is no disagreement as to the basis of preparation of the financial statements. Therefore, the financial statements are not materially misstated. The audit opinion should be an unmodified opinion. The auditor should include a section under the heading "Material Uncertainty Related to Going Concern" in the auditors' report after "Basis for Opinion" paragraph. In this section, the auditors should draw readers attention to the note in the financial statements.

* * * END OF EXAMINATION PAPER * * *